

FEDERAL MARITIME COMMISSION

DOCKET NO. 22-21

MSRF, INC.

v.

YANG MING MARINE TRANSPORT CORPORATION

**RESPONDENT'S MOTION TO CORRECT
MIS-STATEMENTS OF FACT IN COMPLAINANT'S RESPONSE TO
RESPONDENT'S MOTION TO COMPEL PRODUCTION OF DOCUMENTS**

On February 6, 2023, Complainant filed its Response to Respondent's January 30, 2023 Motion to Compel Production of Documents ("Response"). That Response included a number of directly false, or at best misleading, statements of fact. Respondent hereby moves to correct some of the more significant false or misleading statements.¹

A. Complainant's False or Misleading Statements

1. The most direct false statement of fact is Complainant's claim that it "produced 5,777 documents" in response to Respondent's Requests for Production of Documents. Response at 2. That is simply untrue. The number of documents produced by Complainant was actually

¹ Respondent in this Motion ignores multiple other dubious claims of lesser import such as Complainant's assertion that Respondent "cancelled" the deposition of MSRF employee Rochi Mirasol, originally scheduled for today, February 7, 2023. Response at 2. As Complainant well knows, that deposition was not cancelled, but rather "postponed," because of Complainant's refusal to provide documents and other information necessary for meaningful depositions. Nor do we dwell on Complainant's suggestion (Response at 2) that it produced documents on December 21, 2022. Although it did serve objections on that date, not a single document was produced until weeks later. Both Complainant and the Presiding Officer are well aware of this late production, so we are surprised that Complainant is now trying to disguise its delay beyond the time allowed by the Presiding Officer.

1,651 (covering 5,777 pages) and many (we believe the majority) of those were email strings functionally duplicative of other documents.

2. Perhaps more astonishing is Complainant's completely new assertion (response to RFD 10 ("Produce all documents relating to Complaint's claim for, and calculation of, damages set out in Allegation 58")) that it is seeking reparations for 135 "containers" (size and direction unspecified) that MSRF allegedly shipped "during the term" of the service contract in question.² This is information that should, under the FMC's Rules, have been produced in section 3 of its Initial Disclosures, not for the first time in a response near the very end of discovery. Moreover, it is directly contrary to Complainant's own responses to discovery. As explained in the January 30, 2023 *Motion to Compel the Production of Documents*, not only has the Complainant contumaciously refused to provide any information about damages, but the documents it has thus far produced and pointed to refer to only a handful or so of containers.³ Complainant is thus directly contradicting itself.⁴

3. Respondent has asked Complainant repeatedly for information about alleged damages, only to be repeatedly stonewalled. Complainant has refused to disclose, *inter alia*:

² See, Complainant's December 21, 2022 response to Respondent's Interrogatory No. 33 [Attachment A], identifying only 27 containers, for four import shipments, as those Complainants allege to have been refused by Respondent. The new claim for 135 containers seems to be a new invention, apparently made out of whole cloth.

³ The new claim of "about 135 containers" is also flatly inconsistent with Complainant's Admission (RFA 22) that the Service Contract, as amended, called for the transportation of only 10 TEUs, and Respondent in fact carried 10.75TEUs.

⁴ Complainants also contradict themselves when they implicitly argue that Respondent violated the Shipping Act each time it declined (or more accurately was unable) to carry a specific shipment. Such assertion is directly contrary to Complainant's express admission (RFA 19) that Respondent was not obligated by the Shipping Act to carry cargo over any framework other than the entire term of the contract.

- Which specific shipments or containers Complainant claims Respondent “refused” to carry.
- Which specific shipments or containers Complainant refused to deliver or pickup inland.
- For each shipment that Complainant alleges Respondent refused to carry, what alternative arrangement did Complainant make to transport the cargo and at what cost.
- For each shipment that Complainant alleges Respondent refused to transport to/from an inland location, what alternative arrangements did Complainant make for the inland portion and what extra costs were involved.
- For each shipment that Complainant alleges Respondent refused to transport to/from an inland location, what was the effect of the fact that Complainant’s own trucker (which would normally handle the inland portion) refused to work with Complainant any longer.
- For each shipment that Complainant alleges Respondent refused to carry or refused to carry to/from an inland location, what alternative transportation arrangements did Complainant look at in order to mitigate/minimize any damages.
- Which if any shipments that Complainant alleges Respondent refused to carry were also declined by HMM (against which Complainant has an FMC Complaint pending) or by another ocean carrier. This is necessary to prevent what appears a likely attempt to collect damages twice.
- How Complainant calculated its alleged damages.
- What documents support its calculations for each container/shipment.

It thus appears obvious that Complainant is not even attempting to meet its discovery obligations, but rather is trying to sandbag Respondent by not disclosing anything about reparations until it files its Opening Brief (if then), well after discovery has closed, thus preventing Respondent from making any meaningful defense as to reparations. To short circuit such sandbagging, Respondent intends to soon file a motion to dismiss the Complaint to the extent that it seeks reparations.

4. Complainant states with respect to Requests for Documents (RFDs) 4 and 9 that “Yang Ming seems to admit that they might have documents they requested.” Complainant is fully aware that this is a canard. As Respondent has repeatedly told Complainant, *none* of these documents is, or could be, in Respondent’s possession, because they are all *MSRF internal documents*. Complainant’s disingenuous assertion is just another instance of its desperate attempt to avoid legitimate discovery. As explained in the Motion to Compel:

“Complainant’s purported objection is entirely meritless here, as the request is specifically for MSRF *“internal”* documents. Internal memoranda/communications of MSRF are decidedly not in Respondent’s possession. The objection based on relevance is at least bordering on frivolous, given the FMC standard: “Parties may obtain discovery regarding any nonprivileged matter that is relevant to any party’s claim or defense.” The requested documents are relevant to multiple matters pertaining to Yang Ming’s defense, including whether they are consistent with the claims stated in the Complaint, whether MSRF recognized that unusual circumstances were affecting the availability of space on carriers other than Yang Ming, what alternatives were available to MSRF (relevant to both the calculation of damages and the mitigation thereof), and the degree to which any alleged failure to carry cargo was the result of MSRF’s own problems [e.g., it’s trucker refusing to do business with MSRF].”

5. Complainant’s assertions about RFD 3 are equally disingenuous. Contrary to Complainant’s assertion, the RFD does *not* ask for *all* documents having any relation to *all* shipments. First, as Complainants now claim 135 shipments, the number of alternative shipments is necessarily limited. And if there are only four shipments, as the documents thus far appear to indicate, it is more limited still. Further, we did not ask for “all” documents. Rather, we asked only for “shipping documents,” which are defined in the FMC’s own regulations (46 CFR 515.2(k)(4); 46 CFR 515.31(a); 46 CFR 550.202(b)(1)), and which we further explained to Complainant means “the types of documents that might generally be kept in a physical or electronic folder regarding a specific shipment.” As to Complainant’s specious quibble as to the alleged lack of a

“specific time frame,” such a time frame is actually twice provided. First, the RFD has its own specified time frame of May 1, 2019 to the date of response. Second, as the RFD itself asks only about alternative arrangements that Complainant itself alleges it that it made; the specific time frame is exactly the time frame over which Complainant itself asserts the alternative arrangements were made and executed.

B. Conclusion and Request for Relief

For the foregoing reasons, Respondent respectfully requests that the Presiding Judge order that the identified misstatements in Complainant’s Response be corrected. Because the law does not require parties to engage in futile gestures, and time is quickly running out, Counsel for Respondent did not confer with Counsel for Complainant before filing this motion, which we recognize is generally required in normal circumstances.

DATED: February 7, 2023

Respectfully submitted,

/s/ Rebecca A. Fenneman

Rebecca A. Fenneman
D.C. Bar: No: 1722599
Eric C. Jeffrey
D.C. Bar: No: 252585
Jeffrey/Fenneman Law + Strategy, PLLC
700 12th Street, NW Suite 700
Washington, DC 20005
Telephone: 202-904-2301
Email: EJeffrey@JeffreyFenneman.com
RFenneman@JeffreyFenneman.com

**ATTORNEYS FOR YANG MING
MARINE TRANSPORT
CORPORATION**

CERTIFICATE OF SERVICE

I certify that on the 7th day of February, 2023 a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

ATTORNEYS FOR COMPLAINANT:

CLARK HILL PLC

R. Kevin Williams
Mark R. Ludwikowski
Mark J. Andrews
Nicole Prefontaine
312.985.5907
kwilliams@clarkhill.com
mandews@clarkhill.com
mludwikowski@clarkhill.com
nprefontaine@clarkhill.com
130 E. Randolph Street, Suite 3900
Chicago, IL 60601

/s/ *Rebecca A. Fenneman*

Rebecca A. Fenneman
RFenneman@JeffreyFenneman.com
Tel: (202) 904-2301
Jeffrey/Fenneman Law + Strategy, PLLC
700 12th Street, NW Suite 700
Washington, DC 20005

ATTACHMENT A

32. Explain in detail how MSRF can claim in Allegation 26 that Respondent refused to provide MSRF with more than 4 FEUs (the equivalent of 8 TEUs) of space when in fact Respondent carried 10.75 TEUs of MSRF cargo.

ANSWER: See response to Interrogatory No, 31, above.

33. Explain in detail the assertion in Allegation 26 that Respondent “continuously refused” to provide MSRF with space, including an identification of each shipment tendered by MSRF that Respondent refused to carry, including the date on which cargo was tendered by MSRF, the amount of cargo (in TEUs or FEUS) tendered, the nature of the cargo (container size(s), commodity(ies), and all communications between MSRF and Respondent regarding such shipment.

¹ The Complaint repeatedly refers to the MQC as 100 FEUs, rather than TEUs. This is simply incorrect, as review of the Service Contract itself plainly shows. In these Interrogatories and Requests for Production of Documents, we use 100 TEUs as the actual MQC.

ANSWER:

**Bealls Outlet Stores PO# 817903/817910/817915/ YML bbkg # ZH20220211001 --
Savannah, GA**

Booking -PO: 70024977, 1101-11, 1101-15

**PO 70024999: 1101-12, booking number is 140101235785, 2x40'HQ; 1101-11, booking
number is 140101226212, 3x40'HQ; 1101-15, booking number is
140101226221, 3x40'HQ**

June 8, 2021, 2x40'HQ from Ningbo, China port to Bedford Park, IL

**PO # 70024973 - 3x40' - Ningbo =MSRF, Inc (494721) = NBO to door Bedford Park, IL
1101-15, 3x40'HC**

1101-18, 2x40'HC, ITASCA

1101-21, 2x40'HC, CT to Damron Door, 65767 PO# 70024997

1101-22. 4x40'HC, CY Itasca, 60556

1101-23, 1x40'HC

1101-24, 1x40'HC, CY to Damron Door, 65767 PO #70024997

Quotation_Q000472732

ZH20210506004 - 2x40' - Qingdao to Montreal

**April 25, 2021 – Reefer Qingdao port to Itasca, IL – CY/DR; Qingdao to LAX/LGB –
CY/CY**

Complainant reserves the right to supplement this response.

34. Explain in detail the significant facts supporting Complainant's assertion in Allegation 27 that "Respondent is ...re-selling the capacity allotted to MSRF under the service contract